The proposed expansion into tier-2 cities represents a significant strategic opportunity for the company. It is important to note that the tier-2 retail market is projected to double in size within the next four years. A structured and phased entry would allow the company to leverage its existing supply contracts. This approach also minimises capital risk while establishing long-term brand presence.

The recommended strategy prioritises a holistic evaluation of demand, logistics and competitive intensity across candidate markets. Cities such as Indore, Bhopal and Kochi combine robust consumption growth with moderate infrastructure costs. Furthermore, the availability of trained local staff reduces specialised onboarding requirements. A careful site-selection process would therefore improve the likelihood of early profitability.

Financial modelling suggests that each dark store would require an investment of approximately one crore rupees. The expected contribution margin turns positive at a daily volume of five hundred orders. In this analysis, the median store reaches that threshold within ten months. Additionally, marketing expenses per acquired customer are projected at two hundred rupees.

It is important to note that supply chain reliability determines the customer experience in online grocery retail. The company should establish regional consolidation centres to support the proposed distribution network. Furthermore, partnerships with established cold-chain vendors would ensure consistent product quality. These measures would create a robust operational foundation for subsequent growth phases.

In conclusion, the company should proceed with a disciplined and phased expansion into tier-2 markets. A holistic framework that balances growth, cost and risk is recommended. The proposed approach leverages existing capabilities while building new regional strengths. This strategy offers a sustainable and durable path to long-term value creation.